



Trade Repository Business Regulation

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CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of this Regulation is for the Korea Exchange (hereinafter referred to as the “Exchange”) designated as a trade repository pursuant to the Regulations on Financial Investment Business to prescribe the matters necessary for reportable transactions, users, and reporting, recordkeeping, providing and publishing of trade information, and etc. for the sake of enhancing transparency and stability of the Over-The-Counter (hereinafter referred to as “OTC”) derivatives market.

§2. Definitions

(1) The terms used in this Regulation have their meanings given in each of the following subparagraphs:

1. The term “KRX-TR” means the Exchange designated as a trade repository by the Financial Services Commission (hereinafter referred to as the “FSC”) pursuant to [§5-50-2] of the Regulations on Financial Investment Business;
2. The term “LEI” means a Legal Entity Identifier that identifies a legal entity engaging in a financial transaction and is issued in accordance with the ISO 17422 set forth by the International Organization for Standardization;
3. The term “TR system” means a computer system the KRX-TR installs and operates to conduct its trade repository services;
4. The term “UPI” means a unique product identifier that is internationally used for recognizing and identifying individual OTC derivatives products and is issued by the Derivatives Service Bureau (DSB) Limited (hereinafter referred to as the “DSB”);
5. The term “UTI” means a unique transaction identifier that is assigned to each OTC derivatives transaction for recognizing and identifying individual OTC derivatives transactions and is issued in accordance with the Technical Guidance set forth by the Committee on Payments and Market Infrastructure and the International Organization of Securities Commissions;
6. The term “trade date” means a day when a reportable transaction is concluded for the first time pursuant to mutual consent by the parties thereto;
7. The term “trade information” means information related to reportable transactions that the KRX-TR collects from users;

8. The term “trade repository service” means a service that the KRX-TR conducts in relation to collecting, recordkeeping, providing, publicly disclosing and etc. of trade information;

9. The term “financial market infrastructure institution” means an institution that operates a multilateral system used for the purposes of clearing, settling or recording payment, securities, derivatives, and other financial transactions;

10. The term “related statutes” means statutes related to trade repository services such as the Financial Investment Services and Capital Markets Act, the Act on Real Name Financial Transactions and Confidentiality, and the Credit Information Use and Protection Act;

11. The term “reportable transaction” means a transaction that shall be reported to the KRX-TR pursuant to [§5-50-3(1)] of the Regulations on Financial Investment Business;

12. The term “asset class” means a collection of derivatives products that are grouped together based on the types of underlying assets and are classified as follows:

(a) Interest rate;

(b) Foreign exchange;

(c) Equity;

(d) Credit; and

(e) Commodity;

13. The term “user” means a person who intends to report information related to reportable transactions to the KRX-TR or view and/or use trade information kept by the KRX-TR by accessing the TR system; and

14. The term “OTC derivatives transaction” means the transaction of OTC derivatives pursuant to [§5(3)] of the Financial Investment Services and Capital Markets Act;

(2) Terms other than those defined in paragraph (1) in this Regulation have the same meanings given to them in the related statutes and the regulations pertaining to the business of the KRX-TR unless otherwise specified herein.

§3. Non-business Day

(1) The KRX-TR suspends trade repository services on the day corresponding to any of the following subparagraphs:

1. Holidays pursuant to the Rules on Holidays of Public Agencies;

2. Labor Day pursuant to the Designation of Workers' Day Act; and

3. Saturdays

(2) In the case of natural disasters, wars, incidents, a shutdown of overall functions of social infrastructure including electricity and telecommunication system, and other cases where it is deemed necessary to suspend the overall trade repository services for one (1) or more days, the KRX-TR may decide not to carry out the trade repository services by designating a temporary non-business day.

(3) In case where the trade repository services are suspended pursuant to paragraph (2), the KRX-TR notifies the reasons for the suspension, and etc. to the users in advance.

CHAPTER II. USERS

Section 1. User Registration

§4. User Classification

(1) Users are classified as follows:

1. Reporting entity: A person who has obligations to report trade information of reportable transactions and falls under any of the followings:

(a) Financial investment business entity; or

(b) Financial investment product clearinghouse (hereinafter referred to as the “CCP”)

2. Reporting agency: A person to whom a reporting entity in subparagraph 1 delegates its trade reporting task.

3. Information user: A person who does not have reporting obligations but intends to view and/or use trade information kept in the KRX-TR and falls under any of the followings:

(a) FSC;

(b) Financial Supervisory Service (hereinafter referred to as the “FSS”);

(c) Bank of Korea (hereinafter referred to as “BOK”); or

(d) A party to a reportable transaction

§5. Application and Approval for User Registration, etc.

(1) Any person intending to register as a user of the KRX-TR shall apply for the KRX-TR user registration in accordance with the form prescribed by the Enforcement Rules of this Regulation (hereinafter referred to as the “Enforcement Rules”).

(2) The KRX-TR shall examine the application pursuant to paragraph (1), decide whether to approve the application and notify the applicant of the result within 5 business days counted from the application date: Provided, That, the examination period may be extended for up to 30 days if deemed necessary by the KRX-TR.

(3) In the case of finding a deficiency in the submitted application, the KRX-TR may ask the applicant to supplement the application and may undertake an onsite investigation such

as a meeting with executive officers and/or employees of the applicant if deemed necessary to verify the contents of the said application.

(4) In cases where the KRX-TR approves the application for registration pursuant to paragraph (2), the KRX-TR shall announce such approval on the TR system or the internet homepage.

(5) Matters necessary for a user registration application and approval other than those in the paragraphs from (1) through (4) are prescribed by the Enforcement Rules.

§6. Issuance of User ID

(1) In cases where the KRX-TR approves an application for registration in accordance with [§5(2)], the KRX-TR issues and informs a user ID to the applicant.

(2) In cases where the KRX-TR issues a user ID in paragraph (1), the KRX-TR issues one user ID for one LEI of an applicant: Provided, That, the KRX-TR may issue two or more IDs for one LEI if prescribed by the Enforcement Rules.

Section 2. Termination of User Registration, etc.

§7. Termination

(1) A user shall request a termination of user registration from the KRX-TR in accordance with the form prescribed by the Enforcement Rules in cases where the user intends to voluntarily terminate the user registration.

(2) In cases where a request for termination of a user registration pursuant to paragraph (1) has been submitted, the KRX-TR checks whether the reporting obligations of the user ceased to exist. If user obligations including payment of user fees pursuant to [§51] are fulfilled, the KRX-TR decides on the termination date and notify the user thereof.

(3) Notwithstanding paragraph (1), the KRX-TR may terminate user registration without the user's consent in any of the following cases:

1. Where the user was approved for the user registration by fraud or illegal means;
2. Where the user who is also a reporting entity falls under all of the following subparagraphs:
 - (a) Where reporting obligations of a reporting entity have ceased due to revocation of its authorization for its financial investment business or discontinuance or transfer of its business or etc.; and

- (b) Where there is no remaining balance of a transaction concluded by its name.
3. Where the user has not paid the user fees that shall be paid to the KRX-TR for equal to or more than 3 months; or
4. Other cases where the KRX-TR deems it necessary to terminate user registration for maintenance or management of trade repository services.
- (4) Where the KRX-TR terminates user registration pursuant to paragraph (2) or (3), it notifies such termination to the relevant user and announce it on the TR system or internet homepage.

§8. Succession of User Status

- (1) In cases where a user terminates registration because of a merger or a business transfer, the surviving or newly-established corporation resulted from such merger or the corporation taking over the business may succeed the user status by receiving an approval from the KRX-TR.
- (2) In cases where a corporation intending to succeed the user status pursuant to paragraph (1) is not a registered user, the KRX-TR issues and notifies a new user ID to the corporation in accordance with [§6(1)].
- (3) Matters necessary for the succession of the user status other than paragraph (1) and (2) are prescribed by the Enforcement Rules.

Section 3. User Obligations

§9. Compliance with Laws and Regulations

A user shall comply with the related statutes and this Regulation as well as the disciplinary actions and other measures taken pursuant thereto.

§10. Non-Disclosure Obligations

A user and its officers and employees shall keep trade information that it obtained through the TR system confidential and shall not let others, excluding the other party to the reportable transaction and its reporting agency, use such trade information.

§11. Due Diligence and Principle of Good Faith

In carrying out trade reporting tasks through the KRX-TR, a user shall observe due care and diligence and shall not engage in any actions that violate the principle of good faith.

§12. Notification to the KRX-TR

In the event falling under any of the following cases, a user shall, without delay, notify the KRX-TR of the concerned facts or decisions (referring to the resolutions made at the general meeting of shareholders or the meeting of the board of directors, or the decision of the chief executive officer and etc. of the user):

1. Where the cause of dissolution has occurred;
2. Where dispositions such as revocation of authorization or business suspension of financial investment business have been imposed;
3. Where the business of headquarters or branch offices have been suspended, resumed, or discontinued;
4. Where there has been a merger, discontinuance of business, or transfer or acquisition of the whole or a main part of business;
5. Where the information a user had provided at the time of user registration such as its company name changed; or
6. Other cases where an incident that has a significant impact on the fulfillment of trade reporting tasks has occurred.

§13. Providing Additional Information to the KRX-TR

(1) The KRX-TR may request a user to submit a standard agreement on OTC derivatives such as the ISDA Master Agreement, a trade confirmation, and other supplementary documents in relation to a reportable transaction in cases where it deems necessary for confirming accuracy of trade information and resolving conflicts related to trade information.

(2) In the case of receiving a request for additional information in accordance with paragraph (1), the user shall respond to such request without delay

CHAPTER III. REPORTING TRADE INFORMATION

Section 1. Reportable Transactions

§14. Reportable Transactions

(1) Reportable transactions of a financial investment business entity are OTC derivatives transactions that are concluded in the financial investment business entity's own name (In the case of a collective investment business entity, reportable transactions include OTC derivatives transactions concluded in the name of a collective investment scheme that the collective investment business entity manages).

(2) Reportable transactions of the CCP are each of the following transactions:

1. An OTC derivatives transaction pertaining to which a member of the CCP (hereinafter referred to as "clearing member" in this Article) has requested that the said CCP shall assume obligations (excluding a transaction pertaining to which registration of assumption of obligations was rejected since the transaction had failed to satisfy requirements set forth by the CCP.);
2. A transaction between the CCP and a clearing member that is established as the CCP assumes obligations of the transaction prescribed in subparagraph 1; and
3. In the case where a clearing member is not a party to the transaction in subparagraph 1, a transaction construed to be established between the clearing member and a party to the said transaction as soon as the transaction in subparagraph 2 is concluded.

(3) Matters necessary for reportable transactions other than paragraph (1) and (2) are prescribed by the Enforcement Rules.

§15. Exemption of Reporting Obligations regarding the Transactions within a Same Corporation

Notwithstanding [§14(1)], a financial investment business entity needs not report trade information of a transaction concluded within a same corporation: Provided, That, a transaction falling under any of the following subparagraphs is not considered to be concluded within a same corporation:

1. A transaction between a Korean branch of a foreign financial investment business entity and its headquarters or between the Korean branch thereof and any other branches outside of Korea; and
2. A Financial Investment Business Entity's transaction in any of the followings:

(a) A transaction between a proprietary property and a trust property, a collective investment property, or a discretionary investment property (hereinafter referred to as “trust property, etc.”); or

(b) A transaction between trust properties, etc.

Section 2 Data Elements, etc.

§16. Information Types

(1) Trade information of the KRX-TR that reporting entities are obliged to report is classified in accordance with the information types below (hereinafter referred to as “information types”):

1. Transaction information: Basic information required for recording, and maintaining reportable transactions, identification information on parties to a transaction and information on the detailed contract terms and conditions, and etc.

2. Valuation information: Information pertaining to the present values of reportable transactions.

3. Collateral information: Information related to collateral that is given or received between parties to a reportable transaction.

4. Other information: Other information the KRX-TR deems necessary pursuant to a request by the financial authorities or for the creation of statistics.

(2) Matters related to specific data elements, their formats, and requirements per each information type are prescribed by the Enforcement Rules.

§17. Obligation to Use an LEI

When a reporting entity reports identification information of a party to a transaction, it shall use an LEI pursuant to [§2(1)2] as identification information for the said party; Provided, That, the reporting entity may use an identifier prescribed by the Enforcement Rules other than an LEI in the case where it reports identification information of the other party who is not a financial investment business entity nor a collective investment scheme

§18. Obligation to Use a UTI

(1) In the event when a reporting entity reports its trade information, it shall include a UTI pursuant to [§2(1)5] for each reportable transaction.

(2) Necessary matters concerning the format of a UTI and decision on UTI generating entity are prescribed by the Enforcement Rules.

§19. Obligation to Use a UPI

In the event when a reporting entity intends to initially report trade information of a newly concluded transaction, it shall include a UPI pursuant to [§2(1)4] for each of the reportable transactions.

Section 3. Starting the Trade Reporting Tasks

§20. Deadline for Starting the Trade Reporting Tasks

(1) A person whose reporting obligations are incurred pursuant to [§5-50-3(1)] of the Regulations on Financial Investment Business (hereinafter referred to as “Reporting Obligation-Incurred Entity” or ROI Entity) shall apply for user registration in accordance with [§5(1)] within 15 days counted from the date when the said reporting obligations arise for the first time (hereinafter referred to as “initial reporting obligation-incurring date”).

(2) An ROI Entity shall start its trade reporting tasks within 60 days counted from the initial reporting obligation-incurring date.

(3) An ROI Entity shall report all trade information on reportable transactions that are concluded on or maintained as of the initial reporting obligation-incurring date and those that are concluded after the said initial reporting obligation-incurring date, within the deadline for starting a trade reporting task in paragraph (2).

§21. Notifying Incurrence of Reporting Obligations

(1) In cases where the KRX-TR, based on the collected trade information, confirms the fact that the party to the reportable transaction falls under an ROI Entity, the KRX-TR notifies such fact to the said party.

(2) In cases where a person that received the notification in paragraph (1) did not apply for user registration to the KRX-TR until the deadline determined in accordance with [§20(1)], the KRX-TR notifies the FSS of such fact and notify the said party of such non-registration and the fact that the non-registration notification was given to the FSS.

(3) Matters necessary for the notification of incurrence of reporting obligations other than paragraph (1) and (2) are prescribed by the Enforcement Rules.

Section 4. Reporting of Trade Information by Reporting Entities

§22. Method of Reporting Trade Information

(1) A reporting entity shall report its trade information to the KRX-TR by sending it to the TR system in accordance with the reporting form prescribed by the KRX-TR per each information type.

(2) The KRX-TR shall notify users of reporting forms for each information type prescribed in paragraph (1) and other materials related to trade repository services on the TR system, the internet homepage, or etc.

(3) Other necessary matters concerning trade information submission method, etc. pursuant to paragraph (1) are prescribed by the Enforcement Rules.

§23. Consent related to Use and Provision of Trade Information

A reporting entity shall obtain the consent related to use and provision of financial transaction information from the other party to the transaction (including the beneficiaries of the reportable transaction) in advance, in accordance with the form prescribed by the Enforcement Rules before reporting pursuant to [§22(1)].

§24. Reporting Deadline

(1) In cases where a reporting entity reports trade information for the first time after a new transaction is concluded, the said reporting entity shall report such information by the deadline prescribed in each of the following subparagraphs:

1. Financial Investment Business Entity: By 24:00 of the first business day after the trade date. Provided, That, the reporting deadline for the transactions that are concluded at or after 18:00, however, is 24:00 of the second business day after the trade date; and
2. CCP: By 24:00 of the date when the assumption of obligations is registered.

(2) Notwithstanding paragraph (1), in cases where the trade information validation process, etc. was suspended temporarily due to a system failure and etc. pursuant to [§26(1)], the KRX-TR may extend the reporting deadline in paragraph (1) in consideration of the duration of such a system failure, the time needed for system recovery, and etc.

§25. Time Window for Sending and Viewing Trade Information

The time window where a reporting entity or a reporting agency may electronically send trade information to the TR system or view trade information kept therein is from 8:00 to 24:00 of a business day.

§26. Measures against System Failure, etc.

(1) The KRX-TR may temporarily suspend validation, recording and quality management of trade information in [§32] through [§34] (hereinafter referred to as “validation, etc.”) in cases falling under any of the following subparagraphs:

1. Where it is deemed difficult to carry out the trade repository services in a normal manner due to a failure of the TR system or any other IT system that is recognized to be necessary for performing such trade repository services; or
2. Other cases where the KRX-TR recognizes as necessary for the system management.

(2) In cases where, after the KRX-TR temporarily suspended the validation, etc. pursuant to paragraph (1), the cause for such suspension is resolved, the KRX-TR resumes such validation, etc. without delay.

(3) In the case of temporarily suspending the validation, etc. pursuant to paragraph (1) or resuming the validation, etc. pursuant to paragraph (2), the KRX-TR notifies such suspension or resumption via the internet homepage or etc.

§27. Modification Reporting for Transaction Information

In cases where reasons falling under any of the following subparagraphs occur, the reporting entity shall report such modified content in relation to the previously-reported transaction information prescribed in [§16(1)1] and in such cases, reporting shall be carried out by the next business day of the date when the modification to the contract was agreed:

1. Where terms and conditions of a transaction are modified in accordance with mutual agreement between the parties to the transaction;
2. Where a transaction is terminated either fully or partially before its maturity; or
3. Where portfolio compression is carried out, offsetting transaction positions pursuant to mutual agreement by the parties to the transaction.

§28. Update Reporting for Valuation and Collateral Information

(1) A reporting entity shall update valuation information in the [§16(1)2] and/or collateral information in subparagraph (3) of the same paragraph related to a reportable transaction on

every business day from the next business day of the date when the reporting entity reports such information for the first time until the reportable transaction is terminated.

(2) When carrying out update reporting pursuant to paragraph (1), a reporting entity shall reflect the latest information it can obtain as of the corresponding reporting date.

(3) Notwithstanding the preceding provisions of this Article, in cases where a reporting entity carries out update reporting in accordance with paragraph (1) on the termination date of the reportable transaction but is not able to obtain such information calculated on the said termination date, it shall update the valuation information and/or the collateral information within the period prescribed by the Enforcement Rules and counted from the termination date of a transaction.

§29. Liability for the Accuracy of Trade Information

A reporting entity shall confirm whether the trade information it reports pursuant to [§22(1)] is consistent with the contents of the actual transaction and is liable for the accuracy of the reported trade information.

§30. Regarding as the Fulfillment of Reporting Obligations in relation to Cleared Trades

If a reporting entity submits its request to register for assumption of obligations of its reportable transaction to the CCP and such assumption of obligations is registered before the reporting deadline specified in [§24(1)1], the said reporting entity will be considered to have reported the trade information of the transaction that is concluded in its own name and prescribed in each of the subparagraphs in [§14(2)] (including reporting pursuant to [§22(1)] and modification reporting pursuant to [§27] and update reporting pursuant to [§28]).

Section 5. Delegation of Reporting Tasks, etc.

§31. Delegation of Reporting Tasks

(1) In cases where a reporting entity intends to delegate its trade reporting tasks, the reporting entity shall submit its request for a designation of a reporting agency to the KRX-TR in accordance with the form prescribed by the Enforcement Rules.

(2) A person who intends to be designated as a reporting agency shall complete registration pursuant to [§5(1)] in advance.

(3) The KRX-TR approves designation of a reporting agency after examining the application submitted pursuant to paragraph (1).

(4) In the event a reporting entity intends to make changes to the matters such as the scope of reporting tasks to be delegated to the reporting agency that had been approved pursuant to paragraph (3) or terminate the designation of such a reporting agency, it shall apply for a change or termination of the reporting agency to the KRX-TR in accordance with the form prescribed by the Enforcement Rules no later than 5 business days counted backward from the day it intends to carry out such a change or termination.

(5) Matters necessary for application, approval, modification and termination, and etc. of designating a reporting agency other than those provided in paragraph (1) through (4) are prescribed by the Enforcement Rules.

CHAPTER IV. VALIDATION, QUALITY MANAGEMENT AND RECORDKEEPING, ETC. OF TRADE INFORMATION

§32. Validation of Trade Information

- (1) The KRX-TR validates the formats of files and input values, a logical consistency among input values, and etc. in relation to trade information submitted to the TR system in accordance with [§22(1)].
- (2) The KRX-TR notifies a relevant reporting entity (including a reporting agency if the reporting entity delegated its reporting task to such a reporting agency pursuant to [§31]; hereinafter the same shall be applied in this Chapter) of the results such as whether the trade information passed the validation process pursuant to paragraph (1) and what are the erroneous data elements.
- (3) The KRX-TR may refuse to perform the validation process for trade information if it is deemed necessary for the stable operation of the TR system and the protection of trade information kept in the TR (e.g. in cases where there are concerns that the volume of trade information reported from a certain reporting entity may have a considerable impact on the TR system).
- (4) In cases where the KRX-TR refused to perform the validation process for trade information pursuant to paragraph (3), it shall notify the relevant reporting entity of such fact and the reason therefor without delay.
- (5) The KRX-TR shall set forth validation rules in paragraph (1) and announce it on the TR system, the internet homepage, or etc.
- (6) Matters necessary for trade information validation other than paragraph (1) through (5) are prescribed by the Enforcement Rules.

§33. Recording Trade Information

- (1) The KRX-TR records trade information that passed the validation under [§32(1)] in the TR system and proceeds with the process pursuant to [§34].
- (2) In cases where trade information failed to pass the validation, the KRX-TR deems the reporting entity not to have reported such trade information.
- (3) A reporting entity shall correct trade information that failed to pass the validation process and report trade information again without delay.
- (4) Matters necessary for recording trade information and etc. other than paragraph (1) through (3) are prescribed by the Enforcement Rules.

§34. Quality Management of Trade Information

(1) The KRX-TR operates each of the following processes in order to enhance accuracy of trade information:

1. Pairing process:

A process that confirms whether the trade information reported by the parties to the same transaction indicate the same single transaction by pairing the party's trade information that passed the validation process prescribed under [§32(1)] with the other party's trade information that contains the same UTI and the same party identification information; and

2. Reconciliation process:

A process that determines whether key data elements of trade information paired in accordance with the pairing process in subparagraph 1 are consistent from each other by comparing them.

(2) The KRX-TR shall notify the result of the process prescribed under each subparagraph of paragraph (1) to the relevant reporting entity.

(3) The KRX-TR shall set forth the rules necessary for operating the process prescribed under subparagraph 2 of paragraph (1) and announce such rules on the TR system, the internet homepage or etc.

(4) Matters necessary for quality management of trade information other than paragraph (1) through (3) are prescribed by the Enforcement Rules.

§35. Deadline for Corrective Reporting

A reporting entity shall check the contents of any incorrect trade information from the unmatched data elements resulting from the reconciliation process in [§34(1)2] and carry out corrective reporting for the said trade information within 5 business days counted from the date on which the reporting entity was notified of such reconciliation result.

§36. Recordkeeping of Trade Information

The KRX-TR keeps trade information reported by its users in a magnetic disk, a magnetic tape and other auxiliary memory devices for 10 years from the date when relationship of rights and duties in relation to the reportable transaction are terminated.

§37. Provision of Trade Information

(1) The KRX-TR shall provide trade information to each of the following institutions

(hereinafter referred to as the “information receiving entity”) in accordance with [§5-50-4(2)] of the Regulations on Financial Investment Business:

1. FSC;
2. FSS;
3. BOK;
4. Foreign financial supervisory institutions that signed an agreement on mutual trade information exchange with the FSC; and
5. Other persons who made a request for the provision of specific trade information to the FSC and received an approval for such request therefrom.

(2) The KRX-TR shall regularly submit a report it drew up utilizing trade information, to the information receiving entity corresponding to subparagraph 1 through 3 of paragraph (1) and authorize them a direct access to the TR system to view or extract trade information.

(3) The information receiving entity which fall under subparagraph 4 or 5 of paragraph (1) may request provision of trade information to the KRX-TR. In such a case, the information receiving entities shall submit documents that include the purpose of usage and specific contents of trade information and the method of receiving such trade information and etc.

(4) Matters necessary for the provision of trade information for the information receiving entity and contents of reports pursuant to paragraph (2) and (3) are prescribed by the Enforcement Rules.

§38. Disclosure of Trade Information

The KRX-TR shall publicly disclose statistics including the balance of outstanding transactions, the amounts of concluded transactions, and the number thereof that are aggregated in accordance with each of the following criteria, through its internet homepage or etc. pursuant to the frequency prescribed by the Enforcement Rules by utilizing trade information that it collected:

1. Asset class and product type;
2. Type of a party to a transaction; and
3. Other criteria prescribed by the Enforcement Rules

CHAPTER V. OBLIGATIONS OF THE KRX-TR

§39. Prohibition of Discriminatory Handling

The KRX-TR shall not discriminate against a specified user without rational reasons in performing trade repository services (including the auxiliary services under [§52]; hereinafter the same shall apply in this Chapter).

§40. Notifying Violation of Reporting Obligations, etc.

(1) In cases where users or their executive officers and/or employees fall under any of the following cases, the KRX-TR shall notify such fact to the Governor of the FSS:

1. Where a reporting entity rejects, disrupts, or avoids the KRX-TR's request for provision of supplementary information pursuant to [§13];
2. Where the reporting pursuant to [§22] has not been carried out or has been performed by fraud;
3. Where a reporting entity fails to report trade information by the reporting deadline pursuant to [§24];
4. Where a reporting entity fails to report transaction information by the modification reporting deadline pursuant to [§27];
5. Where a reporting entity fails to update valuation and/or collateral information pursuant to [§28]; and
6. Where a reporting entity fails to meet the corrective reporting deadline pursuant to [§35].

(2) In case where the KRX-TR gives notification in accordance with paragraph (1), it notifies such fact and the contents of such notification to the user.

§41. Obligations of Notification

Matters that the KRX-TR intends to notify to users in relation to its trade repository services and other necessary matters concerning such notification are prescribed by the Enforcement Rules.

§42. Management of Operational Risk

The KRX-TR shall establish a system that can recognize, monitor and manage any cause that can give rise to an operational risk in relation to trade repository services.

§43. Identifying, Assessing and Managing Conflicts of Interest

(1) The KRX-TR shall consider possibility of conflicts of interest that can arise in each of the following relationships when its executive officers and/or employees carry out trade repository services:

1. Relationship between the KRX-TR and a user;
2. Relationship between the KRX-TR and a party to a transaction who is not a user (hereinafter referred to as “trade party” in this Article); and
3. Relationship between the trade repository services and other services.

(2) If the executive officers and/or employees of the KRX-TR deem that there is possibility of conflicts of interest pursuant to paragraph (1), they shall carry out their work after lowering such possibility to the minimum level by in-advance discussion with the head of the internal control department in accordance with [§24(1)] of Regulations on the Internal Control so that the interests of users, trade parties and the KRX-TR are not infringed.

(3) Notwithstanding paragraph (2), if it is deemed by the KRX-TR’s executive officers and/or employees that minimizing the possibility of the conflicts of interest is difficult, such fact shall be notified to the relevant users and the said KRX-TR’s executive officers and/or employees shall not carry out the relevant work until the possibility of conflicts of interest is removed.

(4) In cases where conflicts of interest occur while carrying out tasks or in cases where there is such a possibility, the executive officers and/or employees of the KRX-TR shall keep and maintain the record related to such a conflict in writing.

(5) The KRX-TR shall monitor the conflicts of interest management system regularly, at least once a year, and report the result to the department of internal control.

§44. Security of Trade Information

The KRX-TR shall establish a security management system that satisfies each of the following requirements for the sake of managing the safety of trade information that it collected from users:

1. To install and operate access control programs such as a firewall or encryption to prevent any illegal access to trade information;

2. To ensure that malicious codes such as computer viruses or spywares do not penetrate the TR system; and
3. To monitor the use of and access to the TR system at all times.

§45. Protection of Confidential Information, etc.

(1) The KRX-TR and its executive officers and employees shall keep information, such as transaction details of a party to a transaction that the KRX-TR or its officers and/or employees obtained while performing trade repository services, confidential and shall not use such information for the purposes other than carrying out trade repository services nor leak such information: Provided, That, the same shall not apply to a case where the KRX-TR receives a written consent on usage and provision of trade information from the all information subjects thereof including parties to the transaction.

(2) The KRX-TR's executive officers and employees who directly conduct trade repository services (President of Derivatives Market Division in [§38(2)1] of the Articles of Incorporation, executive officers in [§39] thereof including specialized committeemen who executes the official authority of the executive officers pursuant to [§5(2)] in the enforcement rules of the Regulations on the Organizational Management and employees in [§5] of the said Regulations) shall submit a written pledge in accordance with the form prescribed in the Enforcement Rules with the purposes to keep trade details and other information confidential.

§46. Access to Trade Information

(1) The KRX-TR shall grant differentiated access to the TR system depending on different executives and employees of the KRX-TR carrying out their tasks, with the minimum scope necessary in performing such tasks.

(2) In the event where a person in charge of trade repository services changed due to transfer of personnel such as a change of position or resignation. The KRX-TR shall change or cancel the TR system access without delay.

(3) The KRX-TR shall record the details of granting, changing or cancelling access pursuant to paragraph (1) and (2) and keep such records for at least 3 years.

§47. Suspension of Information Exchanges

(1) The KRX-TR shall prohibit exchanges of information between trade repository services and other services carried out by the Exchange (excluding the case where the Exchange performs the tasks of reporting and/or viewing trade information pursuant to [§5-50-3(1)] of the Regulations on Financial Investment Business as a CCP which has been authorized in accordance with [§323-3] of the Financial Investment Services and Capital Markets Act).

(2) Suspension of information exchanges pursuant to paragraph (1) is in accordance with each of the following methods:

1. Information that is obtained in the course of providing trade repository services and has not been disclosed to an unspecified number of the general public shall not be provided;
2. Employees of the KRX-TR shall not be concurrently engaged in other duties than trade repository services; and
3. Office space shall be separated and computerized information related to trade information shall be saved independently for management, supervision and viewing.

§48. Emergency Plan

(1) The KRX-TR establishes a business continuity plan and conducts regular inspections and drills for continuation of trade repository services and prompt recovery in the event where an emergency situation such as natural disasters, terrors or computer failure (hereinafter referred to as “emergency situation” in this Article) occurs.

(2) The KRX-TR shall take measures pursuant to the business continuity plan in paragraph (1) in cases where an emergency situation actually occurs, and notify users and report to the FSC of the occurrence of emergency situation, the contents of ensuing measures, and etc. without delay.

(3) The KRX-TR shall keep and manage any record related to the occurrence of an emergency situation and measures and etc. in writing.

§49. Cooperation with Foreign TRs etc. and Risk Management

The KRX-TR may cooperate with financial market infrastructure institutions such as foreign trade repositories for exchange of trade information and etc. In such a case, the KRX-TR shall pursue institutional compatibility with the said financial market infrastructure institution that the KRX-TR is linked with, and review and manage any additional operational risks incurred by such linking.

CHAPTER VI. SUPPLEMENTARY PROVISIONS

§50. TR Operation Committee

(1) The KRX-TR may establish and operate a TR Operation Committee to deliberate each of the following subparagraphs

1. Matters related to improvement of trade repository services;
2. Matters related to revision of this Regulation; and
3. Other necessary matters concerning trade repository services.

(2) Matters necessary for composition, operation, etc. of the TR Operation Committee are prescribed by the Enforcement Rules.

§51. Payment of User Fees

(1) Users (excluding those in subparagraph 1(b) of Article 4 and subparagraph 3(a) through (c) of that Article; hereinafter the same in this Article shall apply) shall pay user fees to the KRX-TR in relation to the services of reporting and using trade information.

(2) Payment methods, payment rates or amounts or payment deadlines of user fee in paragraph (1) are determined by the resolution of the Board of the KRX-TR.

(3) In cases where a user fails to pay the user fees until the deadline pursuant to paragraph (2), the interest rate prescribed by the Enforcement Rules will be multiplied to the amount of outstanding user fees and the resulting amount will be imposed as damages for delay from the next day of the deadline (including non-business days).

(4) In cases where the KRX-TR determines or changes user fees in paragraph (1), damages for delay in paragraph (3), and/or methods of imposing the said user fees or damages for delay, the KRX-TR shall announce the contents of such decisions or changes on the TR system, internet homepage, or etc. Unless otherwise stated, the year, month and day used in this Regulation shall be based on the Korean Standard Time.

§52. Auxiliary Services

(1) The KRX-TR may conduct the following services that are auxiliary to the trade repository services:

1. Services that confirm the detailed contents of transaction between the parties to OTC derivatives products; and/or

2. Other services auxiliary to the trade repository services

(2) The KRX-TR may impose user fees in relation to auxiliary services of each subparagraph of paragraph (1) to the relevant user.

(3) Methods, rates or amounts, and deadline of user fee payment in paragraph (2) are prescribed by the Enforcement Rules.

§53. Limitation of Liability of the KRX-TR

(1) The KRX-TR is not liable for deciding accuracy of the information submitted by a user (e.g. determining whether such information is consistent with the fact).

(2) The KRX-TR is not liable for integrity or accuracy of any trade information that it collected from a user and provided pursuant to [§37] or disclosed publicly pursuant to [§38]. The KRX-TR does not have any obligation of or responsibility for carrying out the transaction included in such trade information.

(3) The KRX-TR is not responsible for any direct or indirect loss or damage that is incurred in relation to user's use of and access to the TR system without a cause attributable to the KRX-TR.

§54. Standard Time

Unless otherwise stated in this Regulation, the date and time applied herein shall be based on the Korean Standard Time.

§55. Governing Laws and Jurisdiction.

(1) The laws governing the application and interpretation of this Regulation are the laws of the Republic of Korea.

(2) The competent court for the dispute and lawsuit related to the application and interpretation of this Regulation and trade information and other matters provided in this Regulation is the Busan District Court.

[March 8, 2021]

ADDENDA

(Regulation No. 1914 / March 8, 2021)

§1. Effective Date

This Regulation becomes effective on April 1, 2021; Provided, That, [§19] and [§40] of this Regulation becomes effective on the date prescribed by the Enforcement Rules.

§2. Applicability of Reportable Transaction

Applicability pursuant to asset classes of reportable transactions in [§14(1)] are as specified in each of the following subparagraphs:

1. Interest rate and foreign exchange: Applicable from the effective date of this Regulation
2. Others: Applicable from January 1, 2022

§3. Special Case Concerning Deadline for Starting the Trade Reporting Tasks

(1) Notwithstanding [§20(2)], anyone whose trade reporting obligations arise on the effective date of this Regulation shall start its trade reporting task within 90 days counted from the initial reporting obligation-incurring date.

(2) The preceding paragraph applies to a person whose reporting obligations have been incurred pursuant to subparagraph 2 of Article 2 of this Addenda.

§4. Preparatory Work for Enforcement of this Regulation

In relation to the enforcement of this Regulation, the KRX-TR may receive reporting of trade information from a user before the effective date of this Regulation per the request by the user, in order to seamlessly support reporting tasks of the user.